

double again. However, in this case, price stops rising just above the flagpole high.

In my analysis of this pattern, I found that 38% will fail in this manner. However, a bunch of potential high, tight flags never get this far. The second type of failure for this pattern is the failure to break out upward. As I mentioned, I see that a lot. It's why I suggest traders not only wait for price to close above the flag, but to close above the flagpole, too.

Statistics

[Table 35.2](#) shows general statistics.

[Table 35.2](#) General Statistics

Description	Bull Market	Bear Market
Number found	1,028	394
Reversal (R), continuation (C) occurrence	100% C	100% C
Average rise	39%	25%
Standard & Poor's 500 change	5%	1%
Days to ultimate high	43	25
How many change trend?	55%	42%

Number found. I found 1,422 high, tight flags in 578 stocks with the first pattern appearing in February 1991 and the most recent December 2019. Note that I did not log the Covid-19 failures in this edition because some haven't reached the ultimate high yet.

Reversal (R), continuation (C) occurrence. Since I was looking for an upward breakout (only) after a sharp price rise (the flagpole), each flag acted as a continuation of the prevailing price trend.

Average rise. The average rise measured from the breakout price (often it's the opening price the day after price closed above the flagpole high) to the ultimate high.

Standard & Poor's 500 change. The S&P climbed a bit as measured from the high, tight flag's breakout day to the date of the ultimate high. Notice